EXECUTIVE SUMMARY

A. Introduction

The City Government of Panabo, a third class component city in the Province of Davao del Norte was created on March 31, 2001 by virtue of Republic Act No. 9015. It has a total land area of 25,123 hectares, 60.00 percent of which is primarily agricultural. The City is comprised of forty (40) barangays with a total population of 209,230 based on the 2020 census by the Philippine Statistics Authority.

Having been identified as an area for agri-industrialization, the City serves as a gateway to the Province which is thirty-two (32) kilometers away from Davao City and twenty-eight (28) kilometers to Tagum City and is accessible by any means of transportation.

It is envisioned to be a progressive, ecologically balanced, and peaceful agri-industrial City characterized by a friendly, disciplined, empowered, and self-reliant citizenry led by efficient and effective political leaders under transparent governance with sufficient facilities and services as well as social justice and equality to all Panaboans.

The Commission has been implementing risk-based audit in the conduct of its audit services. However, to meet the evolving developments in public governance and fund management, the results-based approach in audit was incorporated. The integration of these approaches through the Financial Audit Manual were applied in the audit of the accounts and operations of the Local Government Unit (LGU).

A financial and compliance audit was conducted on the accounts and operations of Panabo City for CY 2024. The audit consisted of review of operating procedures, evaluation of the LGU's programs and projects, interview of concerned government officials and employees, verification, reconciliation, and analysis of accounts, and such other procedures considered necessary.

B. Financial Highlights

Financial Condition and Operation

The financial condition and performance of the City Government of Panabo for Calendar Year 2024 with comparative figures for CY 2023 are summarized as follows:

Account Groups	2024	2023	Difference Increase (Decrease)	
			Amount	%
Assets	5,542,829,270.14	5,179,181,642.42	363,647,627.72	7.02%
Liabilities	1,324,293,172.94	1,371,171,503.85	(46,878,330.91)	(3.42%)
Equity	4,218,536,097.20	3,808,010,138.57	410,525,958.63	10.78%
Revenue	1,932,401,796.02	1,791,116,033.63	141,285,762.39	7.89%
Current Operating Expenses	1,347,715,715.46	1,226,061,784.81	121,653,930.65	9.92%
Transfers and Subsidy From	14,372,744.47	1,745,000.00	12,627,744.47	723.65%
Transfers and Subsidy To	(24,296,142.19)	(32,248,441.16)	7,952,298.97	24.66%
Miscellaneous Income	4,821,941.92	2,238,897.66	2,583,044.26	115.37%
Surplus (Deficit) for the period	579,584,624.76	536,789,705.32	42,794,919.44	7.97%

In CY 2024, the total assets of the LGU had only increased by P363.647 million or 7.02% due to the additions in property, plant and equipment particularly the completion of Panabo Market Complex building accompanied with the corresponding increase in inventories accounts. On the other hand, liabilities decreased by P46.878 million or 3.42% due to the decrease in inter-agency and intra-agency payables as well as trust liabilities and non-current financial liabilities.

In addition, the increase in revenues by P141.285 million or 7.89% is mainly attributable to the increase in the tax revenue, share from internal revenue collections, service and business income and share, grants and donations. The increase in current operating expenses is primarily due to the increase in payment of personnel services and maintenance and operating expenses.

Of the total realized revenue, P2.013 billion was used to fund the following expenditures appropriated for the City's operation and the various programs and projects aligned for the year. Comparative information of current appropriations and its corresponding obligation for 2024 and 2023 are as follows:

Expenditure	2024		
	Appropriations	Allotment	Obligation
Personal Services	628,477,032.43	548,446,223.83	546,031,902.96
Maintenance and Other Operating Expenses	710,766,928.92	608,424,520.08	564,445,120.71

Expenditure	2024		
	Appropriations	**Allotment**	**Obligation**
Capital Outlay	524,501,887.87	309,846,061.83	107,308,632.85
Total	1,863,745,849.22	1,466,716,805.74	1,217,785,656.52
	2023		
Personal Services	513,662,481.65	525,969,993.61	435,623,803.10
Maintenance and Other Operating Expenses	659,345,721.33	545,291,520.24	516,686,699.72
Capital Outlay	1,088,573,980.54	1,020,012,959.17	466,597,316.32
Total	1,856,173,663.77	1,665,383,014.48	1,408,886,863.97

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial position of the City Government of Panabo, Davao del Norte as at December 31, 2024, and its financial performance and cash flows for the year then ended.

D. Summary of Significant Observations and Recommendations

Presented below are significant audit observations and corresponding recommendations, the details of which and the other audit observations are presented in Part II of this report:

1. The reported Construction in Progress account balance for all funds as at December 31, 2024 amounting to P192,816,055.82 could not be relied upon due to the non-reclassification of completed projects to its proper asset accounts resulting to non-provision of depreciation expenses, non-recognition of incurred project costs, inclusion of accounts with unverified status and non-adjustment of accounts with system errors, thereby, misstating the Property, Plant and Equipment and Equity accounts by P8,454,691.29 of the agency as at year-end.

   We restated the prior years' recommendations and the Management agreed as follows:

   a. The City Engineer's Office (CEO) to immediately submit to the City Accounting Office (CAO) the necessary supporting documents (i.e Statement of Work Accomplished, Inspection Reports, Certificates of Completion, Certificates of Acceptance, etc.) in order to recognized the incurred projects costs and reclassify the completed projects recorded under CIP accounts to the appropriate asset accounts;

b. The CAO to coordinate with the Provincial Government of Davao del Norte to verify the completion status of the FMR/PRDP Project – Rehabilitation of Little Panay-Katipunan-Kasilak Road in order to make the proper adjusting and reclassification entries for the said CIP account.

c. The CAO to prepare the necessary adjusting entries to recognize the incurred projects costs and reclassify the CIP account to its appropriate asset account upon receipt of necessary documents and to record the appropriate depreciation expenses.

d. The CAO to make the necessary adjustments to correct the balance of CIP accounts with system and reclassification errors.

2. Cash and cash equivalents totaling P1,399,374,342.64 were noted with various discrepancies/errors due to lapses in the cash management control procedures thereby affecting the fair presentation of the balances in the financial statements at year end.

A. Book reconciling items in the BRS remained unadjusted in the books as at December 31, 2024 resulting to a misstatement in the Cash in Bank -Local Currency, Current Account (LCCA) by P4,334,182.70.

We restated our prior year's recommendation and the Management agreed that the CTO and City Accounting Office (CAO) coordinate and ensure that the book reconciling items in CY 2024 and prior years are adjusted in order that balances of Cash in Bank accounts and other affected accounts are corrected.

B. Non reconciliation of Cash-local Treasury and Cash in Bank – LCCA account balances between the records of City Accounting Office (CAO) and City Treasurer's Office (CTO) resulted in a variance of P826,903.13 and P27,433,809.21, respectively.

We restated our prior year's recommendation and the Management agreed that the City Accounting and City Treasurer's Office:

a. Reconcile the discrepancies noted between their records and to regularly reconcile the same so that errors and discrepancies in balances could be traced and accordingly adjusted; and,

b. Draw adjusting entries to correct the balances of affected Cash and cash equivalent accounts and to adjust balances in the CTO's Cash Books.

E. Summary of Suspensions, Disallowances and Charges as at Year-End

NS/ND/NC	Balance as at Dec. 31, 2023	This Period (Jan. 1 to Dec. 31 2024)		Balance as at Dec. 31, 2024
		NS/ ND/ NC	NSSDC	
Notice of Suspension	0.00	0.00	0.00	0.00
Notice of Disallowance	7,761,010.61	0.00	1,881,471.96	5,879,538.65
Notice of Charge	0.00	0.00	0.00	0.00
Total	**7,761,010.61**	**0.00**	**1,881,471.96**	**5,879,538.65**

F. Implementation of Prior Years' Audit Recommendations

Out of the ninety-seven (97) unimplemented audit recommendations contained in the previous Annual Audit Report (AAR), fourty seven (47) or 48% were fully implemented; and fifty (50) or 52% were not implemented. Out of the 50 not implemented, 38 were reiterated/ revised/ restated in the CY2024 AAR, while the remaining 12 were not implemented at all as dicussed in Part III.